



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

BUSINESS STUDIES
PAPER 2

6025/2
3 hours

NOVEMBER 2024 SESSION

Additional materials:
Answer booklet
Calculator (Optional)

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces provided on the answer booklet.

Answer **all** questions in Section A and any **three** from Section B.

Write your answers on the separate answer booklet provided.

If you use more than one booklet, fasten them together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

The businesses described in this paper are intended to be fictitious.

This question paper consists of 3 printed pages.

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Section A: Data Response [25 marks]

Answer **all** questions in this section.

- 1 Read the passage below and answer the questions that follow.

Jk Fashions Ltd

Jk Fashions Ltd is a leading garment manufacturing company in Zimbabwe. Of late, the company has been facing a decline in the quality of garments, emanating from poor employee morale.

The company's competitors have heavily invested in advanced technology and also adopted lean production techniques. One of the company's rival firms improved the quality of garments it manufactures through implementing TQM and the Kaizen approach.

In a bid to determine the extent of competition for the past 3 years, 2018 to 2020, Jk Fashions Ltd management decided to carry out an analysis of its current output in relation to the maximum capacity. The details are shown below.

	2018	2019	2020
Maximum capacity	400 000	400 000	400 000
Current output	350 000	300 000	200 000
Selling price per unit	\$2	\$2	\$2
Variable cost per unit	\$1	\$1	\$1
Fixed costs	\$100 000	\$100 000	\$100 000

The Human Resource Manager of Jk Fashions Ltd highlighted the need to improve employee motivation so as to enhance quality and capacity utilisation. In addition, the HR manager emphasised on the importance of effective communication in order to come up with a co-ordinated and coherent working plan.

- (a) Define the term *lean production* as used in the passage. [3]
- (b) (i) Calculate the capacity utilisation for the period 2019 and 2020. [4]
- (ii) Comment on the possible causes of the results obtained in **b(i)**. [4]
- (c) Explain the importance of effective communication to a firm such as Jk Fashions Ltd. [4]
- (d) Evaluate non-financial motivators that can be used by Jk Fashions Ltd. [10]

Section B: Essays [75 marks]

Answer any **three** questions from this section.

- * 2 (a) Explain the components of a business plan. [10] ✓
 (b) Evaluate the usefulness of ratio analysis to an organisation of your choice. [15] ✓
- 3 (a) Explain the reasons for nationalising some businesses in your country. [10]
 (b) Evaluate the benefits of hierarchical organisational structures. [15]
- 4 Evaluate the usefulness of decision trees to a firm deciding to open a new branch. [25]
- † 5 (a) Explain the situations where autocratic leadership style is appropriate to a business. [10] ✓
 (b) Assess the benefits of training to a banking institution. [15] ✓
- 6 (a) Explain the circumstances where visual communication is appropriate to a bank. [12]
 (b) Evaluate the usefulness of sales forecasting as an aid to management decision making. [13]
- 7 (a) Explain the ways that can be used by the government to assist exporters in your country. [10]
 (b) Discuss the importance of business ethics to a drug manufacturer. [15]
- † 8 To what extent is Break Even Analysis useful to a cement manufacturing company? [25] ✓
- 9 (a) Explain the benefits of debt factoring as a source of finance. [10]
 (b) Discuss the factors which influence the pricing decisions of a business. [15]
- 10 (a) Explain the role of International Financial Institutions to the economy of your country. [10]
 (b) Evaluate the methods of inventory control that can be used by a supermarket. [15]